

Exception taxonomy

Evidence Room · AP Agent OS Pro
Version 1.0 · September 2026 · Licensed material · ERP-agnostic
Answers: What should I do? Who owns it? What can go wrong? How control? How measure?

How to use this taxonomy

Use these codes in tickets, extraction sheets, decision trees, agent canvases, and KPI packs. Local ERP reason codes map *to* these codes; they do not replace them.

A local extract (see `TEMPLATES.md`) records frequency, ageing, and owners. This file is the definition. Do not delete a code because this month's volume is zero.

Automation potential is a design hint, not a promise:

LABEL	MEANING
Deterministic	Rule, key, or table should do the work.
Assist	Agent recommends or prepares; human decides.
Bounded execute	Agent may act inside a signed policy (chase, file, log).
None	Human only. Usually money, identity, or legal position.

Risk level is inherent typical risk if the exception is mishandled — not residual after controls.

LEVEL	IF MISHANDLED
High	Wrong payment, duplicate payment, wrong entity, control failure, or regulatory exposure.
Medium	Material mis-posting, delayed payment, supplier dispute, weak audit trail.
Low	Rework and delay without a probable payment or entity error.

Risk can be raised locally (e.g. a “low” invoice-quality issue on a high-value invoice).

Payment authorisation is never an exception resolution. Closing an exception does not authorise a payment.

Index

CODE	CATEGORY	TYPICAL AGENT	LIBRARY CODE (IF USED)	DEFAULT RISK
E01	Missing PO	A04, A06, A09	P0-MISS	Medium
E02	Invalid PO	A03, A04, A06	P0-MISS	Medium
E03	PO closed	A03, A04, A06	P0-MISS	Medium
E04	PO exhausted	A03, A04, A06	P0-QLTY	High
E05	Price mismatch	A03, A04, A09	PRC-VAR	High
E06	Quantity mismatch	A03, A04, A05	QTY-VAR	High
E07	Missing receipt	A05, A04	GR-MISS	Medium
E08	Partial receipt	A03, A05, A04	GR-SPLIT	Medium
E09	Duplicate invoice	A10	DUP-SUS	High
E10	Potential duplicate	A10, A04	DUP-SUS / ANOM-SUS	High
E11	Wrong supplier	A02, A08, A04	VND-UNK	High
E12	Incorrect legal entity	A02, A04	CUR-ERR / entity check	High
E13	Tax issue	A02, A04	TAX-ERR	High
E14	Approval missing	A07, A04	APPR-PEND	High
E15	DOA issue	A07, A16	CTRL-BRK	High
E16	Coding missing	A02, A04	HDR-ERR / coding	Medium
E17	Invalid cost centre	A02, A08	P0-QLTY / coding	Medium
E18	Invoice quality	A01, A08	HDR-ERR	Low–Medium
E19	OCR / extraction issue	A01, A04	LINE-ERR	Medium
E20	Master-data issue	A08, A02	VND-UNK / VND-BLK	High
E21	Banking-change concern	A08, A10, A12, A16	ANOM-SUS / PAY-HOLD	High

CODE	CATEGORY	TYPICAL AGENT	LIBRARY CODE (IF USED)	DEFAULT RISK
E22	Credit note required	A04, A08, A11	STMT-UNM related	Medium
E23	Statement discrepancy	A11, A04	STMT-UNM	Medium
E24	Payment hold	A12 (flag only), A04	PAY-HOLD	High
E25	Disputed invoice	A04, A08	—	Medium
E26	Aged unresolved item	A04, A16	SLA via A16	Medium
E27	System / interface error	A16, A04	CTRL-BRK	Medium

This file is the **operating taxonomy** (E01–E27) required for process mapping and KPI packs. The Agent Library also publishes shorter reason codes (P0-MISS, DUP-SUS, ...). Map local ERP reasons → **E-code first**, then to the library code if the stack needs one. Do not collapse E01–E04 into a single P0-MISS in the KPI pack — volume and treatment differ.

E01 — Missing PO

Definition. Invoice claims or requires a purchase order, and no usable PO number is present or the number supplied does not exist in the system of record.

Probable root cause. Buyer purchased outside process; supplier omitted PO; wrong document sent; PO lives in a different ERP (common in dual-ERP groups).

Required data. Invoice image and extracted header; supplier ID; legal entity; amount; date; any referenced order; open PO list for that supplier/entity; buyer identity if known.

Suggested resolution. Confirm whether a PO should exist. If yes, locate or raise it before match. If the spend is genuinely non-PO, reclassify and send through the non-PO approval tree — do not invent a PO number.

Responsible party. Buyer / requestor to supply or raise the PO. AP owns triage. Procurement owns policy exceptions.

Escalation. Unresolved after the local chase SLA → AP supervisor → Procurement lead. High-value or repeat offenders → process owner (policy, not a one-off post).

Potential agent. A04 (classify and route), A06 (PO quality), A09 (internal chase for the number), A08 (if the PO exists but is invisible because of master-data / org mapping).

Automation potential. Assist. Bounded execute for a template chase. Not deterministic: “missing” can mean several things.

Risk level. Medium (High if posted as non-PO to bypass match).

Measure / evidence. Time-to-PO-identified; repeat rate by buyer/supplier; evidence of chase and response. KPI: missing-PO count, repeat exception rate.

E02 — Invalid PO

Definition. A PO number is present but is not valid for this invoice: wrong supplier on the PO, wrong company code / entity, wrong currency, deleted, or otherwise not usable for match.

Probable root cause. Supplier reused an old PO; buyer gave the wrong number; intercompany confusion; ERP change left stale numbers in circulation.

Required data. PO header (supplier, entity, currency, status, account assignment); invoice header; vendor master; entity calendar.

Suggested resolution. Match to the correct PO if the buyer confirms it. Otherwise return to supplier or convert to the correct path (new PO or non-PO). Do not overwrite PO supplier to force a match.

Responsible party. Buyer confirms intended PO. AP does not “fix” PO identity.

Escalation. Buyer silent → requester’s manager. Suspected misuse of another cost centre’s PO → Procurement + Controls.

Potential agent. A03 (deterministic validity checks), A04 (route), A06.

Automation potential. Deterministic for validity flags. Assist for choosing the replacement PO.

Risk level. Medium.

Measure / evidence. Invalid-PO rate by supplier; evidence that validity checks ran before any model suggestion.

E03 — PO closed

Definition. Referenced PO is closed, finally invoiced, or otherwise blocked for further invoicing, and the invoice still cites it.

Probable root cause. Late invoice after close; supplier billing a residual; buyer closed the PO after a short-ship; credit-and-rebill using the old number.

Required data. PO status history; invoiced-to-date; GR history; close reason; invoice date vs close date.

Suggested resolution. Determine whether the close was correct. If residual is legitimate, reopen under policy or raise a new PO. If the invoice is late and unowed, return / credit.

Responsible party. Buyer / Procurement own reopen-or-refuse. AP parks the invoice.

Escalation. Reopen requests above a local threshold → Procurement controller. Pattern of late invoices after close → supplier performance, not a standing reopen.

Potential agent. A03 (status check), A04, A06, A08 (request credit or revised PO reference).

Automation potential. Deterministic detection. Assist on reopen vs refuse. Execute never reopens a PO.

Risk level. Medium.

E04 — PO exhausted

Definition. PO is open but remaining value or quantity is insufficient for this invoice (after considering tolerances and prior invoices).

Probable root cause. Scope increase not reflected on the PO; duplicate billing against the same lines; tolerance abuse; original PO under-raised.

Required data. PO line remaining qty/value; tolerance table; prior invoices against the PO; contract if any; change-order policy.

Suggested resolution. Change order or new PO for legitimate extra spend. If the invoice exceeds what was received and ordered, treat as price/qty mismatch or dispute. Do not raise remaining value “to clear the queue.”

Responsible party. Buyer / Procurement for change order. AP for parking and evidence.

Escalation. Exhaustion above DOA of the original approver → new approval under current DOA, not a rubber stamp of the old PO.

Potential agent. A03 (remaining-value calc), A04, A06.

Automation potential. Deterministic detection and remaining-value arithmetic. Assist on treatment.

Risk level. High — this is a common path to paying unauthorised spend.

Control. A03 must not silently apply a tolerance that effectively creates budget. Tolerance tables are certified (see control matrix).

E05 — Price mismatch

Definition. Invoice unit price or line/header amount differs from the PO (or contract) beyond the certified tolerance.

Probable root cause. Price change not on PO; tax/freight treated as price; UoM confusion; supplier error; unofficial “known variance” lists.

Required data. PO price, invoice price, currency and FX date, UoM, freight/tax split, tolerance table, contract price if governing.

Suggested resolution. Recalculate with tax and freight stripped to the comparison basis. If still out of tolerance, buyer confirms and a PO change or credit follows. Human override only, logged.

Responsible party. Buyer confirms commercial position. AP does not accept a verbal “it’s fine” as a price change.

Escalation. Override above local band → AP supervisor + documented buyer approval. Repeat supplier variances → Procurement.

Potential agent. A03 (deterministic compare), A04 (explain), A09 (draft the buyer question).

Automation potential. Deterministic compare. Assist for explanation. None for override.

Risk level. High.

Measure. Price-mismatch rate; override rate; \$ value overridden (customer currency, customer baseline).

E06 — Quantity mismatch

Definition. Invoice quantity differs from PO remaining quantity and/or received quantity beyond tolerance.

Probable root cause. Partial shipment invoiced in full; packing-slip vs PO UoM; services billed on a different unit; duplicate line.

Required data. PO qty, GR qty, previously invoiced qty, UoM conversion, service entry if used.

Suggested resolution. Align with receipts (E07/E08) or correct the invoice. Do not goods-receipt “to match” after the fact without the receiving policy allowing it.

Responsible party. Receiver / buyer for quantity truth. AP for the document.

Escalation. Negative GR remaining → treat as potential duplicate or overbill (E09/E10/E25).

Potential agent. A03, A04, A05.

Automation potential. Deterministic compare. Assist on treatment.

Risk level. High.

E07 — Missing receipt

Definition. A receipt (goods receipt or service entry) is required for match and is not present.

Probable root cause. Goods at the dock unreceived; service delivered without entry; receipt in another plant/system; invoice arrived before goods.

Required data. PO, inbound delivery if any, receiver identity, invoice date vs promised date, prior chase history.

Suggested resolution. Chase the named receiver (A12). Do not auto-receipt. If policy allows a time-boxed wait, park — do not post.

Responsible party. Receiver / buyer. AP owns the chase clock.

Escalation. SLA breach → receiver’s manager. Repeat missing GR on a plant → operations, not AP overtime.

Potential agent. A05 (prepare/send approved-template chase), A04, A09.

Automation potential. Bounded execute for chases. None for creating the receipt.

Risk level. Medium (High if someone receipts without goods to clear ageing).

Measure. Missing-receipt reduction vs customer baseline; on-time chase; time-to-receipt after chase.

E08 — Partial receipt

Definition. Receipt exists but covers only part of the invoiced quantity/value, and policy does not allow posting the unmatched remainder.

Probable root cause. Split deliveries; invoice for a full order after first drop; services milestone vs full bill.

Required data. Receipt lines vs invoice lines; policy on partial-bill posting; remaining expected receipts.

Suggested resolution. Post only what policy allows against received qty, or park pending further GR, or request a split invoice. Prefer a supplier split over a forced full post.

Responsible party. AP applies policy. Buyer/receiver confirm remaining goods.

Escalation. Supplier refuses to split → AP supervisor + Procurement.

Potential agent. A03 (partial-match arithmetic), A05, A04.

Automation potential. Deterministic arithmetic. Assist on whether to request a split.

Risk level. Medium.

E09 — Duplicate invoice

Definition. The invoice is the same payable as one already parked, posted, or paid, under the organisation's *exact* duplicate definition.

Probable root cause. Supplier re-sent; dual channels (portal + email); clerk re-entered after a park; credit-and-rebill without cancelling the first.

Required data. Composite key as certified (typically supplier + invoice number + amount + date + entity, plus document type). Existing documents in all in-scope ERPs. Payment status of the first document.

Suggested resolution. Block. Do not post. Notify supplier if a statement will otherwise re-claim it. If the first document is wrong and this is the correction, cancel/reverse under policy — do not keep both.

Responsible party. AP supervisor on confirmation of exact-key hit. Payments/Treasury informed if the first is already in a proposal.

Escalation. Exact-key hit after payment of the first → incident (possible duplicate payment). IA informed.

Potential agent. A10.

Automation potential. Deterministic block on the certified key. This is not a job for a model as the primary control.

Risk level. High.

Measure. Duplicates detected; duplicate payments prevented *where measurable* (first unpaid and blocked, or recovered). Do not count “potential” as prevented.

E10 — Potential duplicate

Definition. Similarity suggests a duplicate (near number, same amount/date/supplier, cross-ERP lookalike) but the exact key does not hit.

Probable root cause. Invoice-number formatting; OCR error on the number; two legal documents that look alike; legitimate rebill.

Required data. Near-key features; both images; PO/GR links; payment status; credit-note history.

Suggested resolution. Human decision with both documents on screen. Agent recommends and highlights diffs. Do not auto-block on near-key (false positives starve suppliers) and do not auto-post.

Responsible party. AP clerk / supervisor per DOA.

Escalation. Cross-entity or cross-ERP near-duplicate → A10 / A16 and supervisor.

Potential agent. A10 (recommend), A04.

Automation potential. Assist. Deterministic only for the features that feed the queue, not for the decision.

Risk level. High.

Measure. FPR and FNR on the near-duplicate queue vs a dual-reviewed sample. Human is not sole ground truth.

E11 — Wrong supplier

Definition. Invoice is billed by, or has been assigned to, a different supplier than the one that should be paid (including lookalikes and factoring without a recorded assignment).

Probable root cause. Similar names; shared VAT IDs; buyer selected the wrong vendor; factoring; master-data duplicate vendors.

Required data. Invoice legal name, address, tax ID, bank hint; vendor master candidates; PO supplier; assignment/factoring records.

Suggested resolution. Resolve identity before any match or payment proposal. Do not pay the “closest” vendor. Create or select the correct vendor under master-data policy.

Responsible party. AP + master-data steward. Buyer confirms commercial counterparty.

Escalation. Lookalike + bank-detail difference → treat as E21 as well. Suspected fraud pattern → Controls / Security, halt the document.

Potential agent. A02 / A08 (recommend), A04.

Automation potential. Assist. None for creating a vendor or changing the payee.

Risk level. High.

E12 — Incorrect legal entity

Definition. Invoice is addressed to, or has been captured against, the wrong company / establishment / books.

Probable root cause. Dual ERP; shared brands; supplier bill-to list out of date; clerk defaulted the last entity used.

Required data. Bill-to name and address; tax registration; PO entity; contract entity; intercompany flags.

Suggested resolution. Recapture against the correct entity. If the supplier billed the wrong entity, request a correctly addressed invoice — posting to the “right” books on the wrong legal document is a policy decision, not a default.

Responsible party. AP. Tax consulted when registrations differ.

Escalation. Cross-border entity error → Tax + Controller. Repeat → A11 to correct supplier master bill-to.

Potential agent. A02, A04.

Automation potential. Assist (recommend entity). Deterministic checks on tax ID vs entity.

Risk level. High — wrong-entity postings distort all downstream controls.

E13 — Tax issue

Definition. VAT/GST/sales tax/withholding on the invoice is missing, wrong-rated, wrong-jurisdiction, or inconsistent with the entity and supply.

Probable root cause. Supplier error; reverse-charge missed; entity registration mismatch; freight taxed incorrectly; model or clerk guessed a code.

Required data. Entity tax registration, place of supply, material/service tax category, supplier tax status, invoice tax breakdown, local tax matrix.

Suggested resolution. Compare to the certified tax matrix (deterministic). Material uncertainty → Tax. Do not let A09 “pick a rate that posts.”

Responsible party. Tax on position. AP on capture. A09 recommends only.

Escalation. Material amount or new jurisdiction → Tax before post. Filing positions are never an agent action.

Potential agent. A02, A04.

Automation potential. Deterministic matrix. Assist on residual. None for filing or for overriding the matrix.

Risk level. High.

E14 — Approval missing

Definition. Required approval has not been recorded in the system of record.

Probable root cause. Email approval not transcribed; approver left; workflow never started; non-PO path skipped; agent prepared a packet that nobody submitted.

Required data. DOA table, document amount (in approval currency), account assignment, current approver, evidence of any off-system approval.

Suggested resolution. Start or resume the formal workflow. Off-system approvals are re-entered as evidence, not treated as sufficient on their own unless policy explicitly allows and A16 stores the artefact.

Responsible party. Approver. AP monitors the clock. A10 prepares the packet only.

Escalation. SLA breach → approver's delegate, then their manager. Pattern of email-only approvals → control finding.

Potential agent. A07 (prepare), A04 (ageing).

Automation potential. Bounded execute for reminders. None for the approval itself.

Risk level. High.

E15 — DOA issue

Definition. An approval exists but is invalid: approver lacks limit, is the requestor, is the vendor contact, is terminated, or the split was engineered to stay under a limit.

Probable root cause. Stale DOA table; self-approval; invoice splitting; acting-up not updated; agent routed to the last person who approved a similar bill.

Required data. Current DOA, HR status, requestor identity, related invoices in the split window, SoD matrix.

Suggested resolution. Re-route to a valid approver. Splits that appear designed to avoid DOA → Controls. Do not “find someone who will click.”

Responsible party. AP supervisor + Controls. DOA table owner (usually Finance) for table errors.

Escalation. Self-approval or split pattern → IA. Terminated approver still active in workflow → access-termination incident.

Potential agent. A07 (detect and re-route recommendation), A16 (dispatch / log).

Automation potential. Deterministic checks on limits, HR status, self-approval. None for granting a limit.

Risk level. High.

E16 — Coding missing

Definition. Required GL / account assignment / tax code / project / intercompany fields are absent.

Probable root cause. Non-PO invoice; incomplete PO account assignment; new spend type; clerk waiting on the buyer.

Required data. Coding policy, historical postings for the supplier/entity (as *suggestion only*), PO account assignment, requestor.

Suggested resolution. A08 proposes from policy and PO first, history second. Human accepts. Do not execute coding on a new supplier or new GL without confirmation.

Responsible party. Requestor / buyer for non-PO. AP for completeness. Controller for policy.

Escalation. No policy for this spend → Controller, not a creative clerk or model.

Potential agent. A02, A04.

Automation potential. Assist. Bounded execute only on a *locked* policy (signed canvas).

Risk level. Medium.

E17 — Invalid cost centre

Definition. Cost centre (or equivalent: profit centre, internal order, project WBS) is present but closed, wrong entity, or not allowed for this account / user.

Probable root cause. Stale default on a vendor or PO; reorganisation; copied coding.

Required data. CO master, entity mapping, allowed combinations, requestor's org.

Suggested resolution. Replace with a valid combination confirmed by the budget owner. A15 if the master itself is wrong.

Responsible party. Budget owner. AP does not substitute a “parking” cost centre as policy unless one is formally designated.

Escalation. Reorg orphans → Finance operations / CO master owner.

Potential agent. A02, A08.

Automation potential. Deterministic validity. Assist on replacement.

Risk level. Medium.

E18 — Invoice quality

Definition. The document is not processable as a legal or operational invoice: missing legal fields, unreadable pages, statement sent as invoice, missing lines, wrong currency symbol, etc.

Probable root cause. Photo of a screen; supplier template failure; statement/reminder mis-filed (see A02); multi-invoice PDF.

Required data. Image, classification (A02), required-field checklist for the entity’s jurisdiction (local list — not invented here as legal advice).

Suggested resolution. Reject or query with a specific defect list. Do not key from a statement and call it an invoice.

Responsible party. Supplier to reissue. A11 sends the defect list. AP does not “make it good enough.”

Escalation. Repeat quality failures → Procurement / supplier performance. Suspected constructed document → Controls.

Potential agent. A01, A08 (quality flags and supplier defect list).

Automation potential. Deterministic completeness checks. Bounded execute for a reject/query template.

Risk level. Low–Medium (High if someone keys a payment from a statement).

E19 — OCR / extraction issue

Definition. Capture failed or is below the confirmation floor: wrong header fields, missed lines, split amounts, header/line disagreement.

Probable root cause. Poor scan; unusual layout; multi-page tables; model hallucination of a PO or tax number that looks plausible.

Required data. Image, raw extraction, confidence by field, schema, prior confirmed invoice from same supplier (as a check, not a copy-forward of amounts).

Suggested resolution. Human confirmation on failed fields. Never silently fill a PO number, bank IBAN, or tax ID from a model guess. Prefer re-scan over creative extraction.

Responsible party. AP clerk for confirmation. AI product owner for recurring layout failures.

Escalation. Hallucinated identity or bank fields → treat as a control event, not a quality nit.

Potential agent. A01, A04, A16 (log the hallucination).

Automation potential. Assist (prepare fields). Deterministic schema validation. Execute only on fields that passed confirmation policy.

Risk level. Medium (High for identity/bank/tax fields).

Measure. Extraction accuracy by field class; confirmation rate; hallucination incidents.

E20 — Master-data issue

Definition. Vendor, bank, tax, or org master is missing, duplicate, stale, or internally inconsistent, and that defect is blocking a correct post.

Probable root cause. Acquisition (two ERPs, two vendor numbers); never-cleaned duplicates; unmaintained withholding flags.

Required data. Master records in all in-scope systems, evidence of the commercial relationship, change history.

Suggested resolution. A15 recommends a change pack. Humans post. Dual control on bank and tax fields. Do not work around with a “one-time vendor” unless that is a written policy.

Responsible party. Master-data steward. AP raises the defect. Procurement/Tax/Treasury as field owners.

Escalation. Duplicate vendors with different bank details → E21 + Controls.

Potential agent. A08, A02.

Automation potential. Assist. None for posting master-data.

Risk level. High.

E21 — Banking-change concern

Definition. The invoice, an email, or a portal message asks for, or implies, a change to payment instructions, or the extracted bank details disagree with the master.

Probable root cause. Legitimate change; supplier error; invoice template leftover; social engineering / invoice fraud attempt.

Required data. Current master bank details, requested details, channel of the request, callback policy, recent similar attempts.

Suggested resolution. Stop payment-path processing. Follow the organisation's out-of-band verification. Dual human control to change the master. A08 drafts the request only. A10 / A12 flag. A16 logs. This toolkit does not claim fraud detection — it requires the change to be treated as high-risk until verified.

Responsible party. Treasury / master-data + AP supervisor. Never the same person who received the email.

Escalation. Immediate to the bank-change procedure. If payment is in a current proposal, Treasury pulls it (human).

Potential agent. A08 (prepare a change pack *after* verification), A10 (flag), A12 (hold), A16.

Automation potential. Deterministic flag on disagreement. None for changing or using the new details.

Risk level. High.

Control. See payment-authorisation and bank-change hard controls. Agent never updates bank details.

E22 — Credit note required

Definition. The payable should be reduced or cancelled by a credit note that has not been received or has not been linked.

Probable root cause. Returns; price correction; duplicate billing acknowledged by supplier; over-receipt correction.

Required data. Original invoice, correspondence, returns/GR reversal, statement.

Suggested resolution. Request and link the credit. Do not net informally on a later invoice unless policy allows documented netting. Do not pay the original in full while “waiting for the credit” without a hold (E24).

Responsible party. AP + buyer. Supplier issues the credit.

Escalation. Promised credit not received by SLA → A11 + hold.

Potential agent. A04, A08, A11.

Automation potential. Assist + bounded execute for the request template.

Risk level. Medium (High if the original is paid with no hold).

E23 — Statement discrepancy

Definition. Supplier statement does not agree with open items: missing invoices, missing credits, unrecorded payments, or timing differences.

Probable root cause. Intake failure; unapplied payment; supplier books a duplicate AP does not have; period cut-off.

Required data. Statement, open items, payment history, parked documents, both ERPs if the supplier spans them.

Suggested resolution. Reconcile line by line. A13 proposes matches and residuals. Humans accept. Missing invoices go to intake (A01), not to a manually keyed payable from the statement.

Responsible party. AP reconciler. Treasury on unapplied payments.

Escalation. Residual above threshold → AP supervisor. Persistent unrecorded invoices → channel/intake review.

Potential agent. A11, A04.

Automation potential. Deterministic matching of exact open items. Assist on residuals.

Risk level. Medium.

E24 — Payment hold

Definition. The item must not enter, or must be removed from, a payment proposal for a stated reason (dispute, missing credit, audit, bank-change, legal, cash).

Probable root cause. Any high-risk exception; Treasury cash stop; legal hold.

Required data. Hold reason code, owner, expiry or review date, linked exception codes, proposal ID if already selected.

Suggested resolution. Apply hold in the payment system of record. A12 may *flag* “should not be proposed.” A12 may not lift a hold. Lifting is human.

Responsible party. Hold owner (AP supervisor, Treasury, Legal — as coded). Payments operator executes the hold.

Escalation. Hold expired without review → A16 alert to owner + AP Director.

Potential agent. A12 (flag only), A04, A16.

Automation potential. Deterministic flag from linked high-risk codes. None for release.

Risk level. High.

E25 — Disputed invoice

Definition. The organisation contests that the amount, supply, or terms are owed, and the item is not a routine mismatch still in query.

Probable root cause. Quality/service dispute; contract interpretation; unauthorised purchase; supplier claims delivery that operations deny.

Required data. Contract, correspondence, receiving records, prior credits, legal flags.

Suggested resolution. Park, hold (E24), assign a dispute owner. Agent drafts a factual pack. Humans decide commercial settlement. Do not “split the difference” in the ERP without authority.

Responsible party. Buyer / commercial owner. AP administers the document. Legal if named.

Escalation. Age + value thresholds → commercial lead, then Legal.

Potential agent. A04, A08 (prepare), A16.

Automation potential. Assist. None for settlement.

Risk level. Medium (High when a payment run is close).

E26 — Aged unresolved item

Definition. An exception (any other code) has exceeded the ageing threshold and lacks a current owner action.

Probable root cause. Chase fatigue; leavers; unclear owner; parked-and-forgotten; waiting on a supplier who has been paid anyway.

Required data. Age, last action, owner, linked codes, payment status, value.

Suggested resolution. Re-assign, escalate, or write a close plan (credit, write-off policy, return). A04 surfaces. A16 escalates. A14 may report ageing. Do not silently post to clear ageing.

Responsible party. AP supervisor for the queue. Original exception owner still R until reassigned.

Escalation. Threshold 1 → owner's manager. Threshold 2 → AP Director. Items in a payment proposal → Treasury same day.

Potential agent. A04, A16.

Automation potential. Deterministic ageing reports. Bounded execute for escalation notices. None for close.

Risk level. Medium.

Measure. Ageing reduction vs customer baseline; % aged items with a current owner and next action date.

E27 — System / interface error

Definition. The process cannot proceed because a system, interface, or environment failed: intake drop, ERP dump, workflow hang, model-provider outage, clock-skewed posting periods.

Probable root cause. Integration defect; period close; credential expiry; vendor outage; change deployed without recertification.

Required data. Error payload, correlation IDs, last successful job, change calendar, fallback state.

Suggested resolution. Fallback in the canvas: manual queue, delayed run, or halt. Do not “retry payment-adjacent jobs” as a reflex. Treat model outage as degrade-to-human, not as skip-the-control.

Responsible party. AI product owner / IT for the system. AP for the business queue. A16 for the incident record.

Escalation. Sev per governance framework. Payment-day outages → AP Director + Treasury immediately.

Potential agent. A16, A04 (requeue).

Automation potential. Deterministic health checks. Bounded execute for requeue of *non-payment* jobs. None for unattended replay of payment-adjacent jobs.

Risk level. Medium (High on payment days or if retries can duplicate).

Cross-cutting rules

1. **One primary code per ticket**, plus secondary codes. A missing receipt that is also aged is E07 primary, E26 secondary. A bank-detail email on an invoice is E21 primary regardless of match status.
 2. **Do not invent a code for “AI unsure.”** That is a confidence failure on an existing code, or E19, or E27.
 3. **Do not use E24 as a junk drawer.** Holds need a reason that is another code or a Treasury/Legal code in the local extract.
 4. **Cross-ERP groups** (Northline-style SAP + NetSuite) run A10 and A02/A08 across both systems or they will pay the same invoice twice, once in each ledger.
 5. **Closing an exception is not paying.** A12 never takes an exception close as authority to include an item in a run.
-

Northline local extract (illustrative)

Fictional group, 18,000 invoices/month, SAP + NetSuite. Illustrative 90-day mix for the SAP PO slice only — not a benchmark.

CODE	ILLUSTRATIVE MIX	LOCAL OWNER	NOTE
E07	22%	Plant receivers	A05 first agent after match
E05	14%	Buyers	Unofficial variance spreadsheet to be retired
E04	9%	Procurement	Change-order discipline
E16	8%	Requestors (non-PO leaks into PO queue)	
E09+E10	7%	AP supervisor	Must run across SAP and NetSuite
E19	6%	AP + AI owner	Multi-page scans
E14	5%	Approvers	NetSuite email-approval gap is a <i>different slice</i>
Other	29%	Mixed	Including E12 between manufacturing and acquired entities

Related documents

- ER_METHODODOLOGY.md — when to localise this list
- TEMPLATES.md — taxonomy extract form
- ../Controls/AGENT_CONTROL_MATRIX.md
- ../KPI_and_Measurement/KPI_FRAMEWORK.md — exception resolution rate, repeat rate, ageing

© 2026 Evidence Room · Independently authored · Not legal, tax, accounting or investment advice · Responsibility is earned.